

Amendment No. 2 to HB2532

Hicks G
Signature of Sponsor

AMEND Senate Bill No. 2247*

House Bill No. 2532

by deleting all language after the enacting clause and substituting instead the following:

SECTION 1. Tennessee Code Annotated, Section 49-6-3502(7), is amended by adding "any of the grades kindergarten through twelve (K-12) at" after "enrolls in".

SECTION 2. Tennessee Code Annotated, Section 49-6-3504, is amended by adding the following as a new subsection (f):

(f) Notwithstanding subsection (b) and subject to appropriation, the department shall make a maximum of thirty-five thousand (35,000) scholarships available to eligible students for the 2026-2027 school year in the order required in subsection (c).

SECTION 3. Tennessee Code Annotated, Section 49-3-108(i), is amended by deleting subdivisions (1)-(3) and substituting instead:

(1)

(A) Beginning with TISA allocations for the 2026-2027 school year, and except when subdivision (i)(2) applies, if an LEA's TISA allocation for the current school year is less than the LEA's TISA allocation for the immediately preceding school year, and the LEA experienced disenrollment, then the department shall allocate additional funds to the LEA in the amount of the average per pupil state funds received by the LEA in the immediately preceding school year for each student who disenrolled from the LEA for the immediately preceding school year and received, for the immediately preceding school year, an education freedom scholarship pursuant to chapter 6, part 35 of this title.

(B) The sum total of any additional funds received by an LEA pursuant to this subdivision (i)(1) must not exceed the LEA's TISA allocation for the immediately preceding school year.

(2)

(A) Beginning with TISA allocations for the 2027-2028 school year, if an LEA has ever received additional funds under this subsection (i), and if the LEA's TISA allocation for the current school year is less than the sum total of the LEA's TISA allocation for the immediately preceding school year and the amount of any additional funds received by the LEA pursuant to this subsection (i) for the immediately preceding school year, and the LEA experienced disenrollment, then the department shall allocate additional funds to the LEA in the amount of the average per pupil state funds received by the LEA in the immediately preceding school year for each student who disenrolled from the LEA for the immediately preceding school year and received, for the immediately preceding school year, an education freedom scholarship pursuant to chapter 6, part 35 of this title.

(B) The sum total of any additional funds received by an LEA pursuant to this subdivision (i)(2) must not exceed the sum total of the LEA's TISA allocation for the immediately preceding school year and the amount of any additional funds received by the LEA pursuant to this subsection (i) for the immediately preceding school year.

(3) Any additional funds provided to an LEA pursuant to this subsection (i) must be solely state funded. If an LEA is eligible for additional funds under this subsection (i) and subsection (b) or subsection (c), then the department shall only award additional funds to such an LEA pursuant to this subsection (i), subsection (b), or subsection (c), whichever results in the LEA receiving the greatest amount of additional funding.

SECTION 4. Tennessee Code Annotated, Section 49-6-3504, is amended by deleting subsection (c) and substituting instead the following:

(c) The department shall award scholarships in the following order:

(1) An eligible student who received a scholarship in the immediately preceding year, in the order in which the department receives completed scholarship applications;

(2) If scholarships remain available after all eligible students described in subdivision (c)(1) receive a scholarship, then an eligible student whose annual household income does not exceed one hundred percent (100%) of the amount required for the student to qualify for free or reduced-price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service, or an eligible student who is an eligible student as defined in § 49-6-2602 or § 49-10-1402, in the order in which the department receives completed scholarship applications;

(3) If scholarships remain available after all eligible students described in subdivision (c)(2) receive a scholarship, then an eligible student whose annual household income does not exceed three hundred percent (300%) of the amount required for the student to qualify for free or reduced-price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service, in the order in which the department receives completed scholarship applications;

(4) If scholarships remain available after all eligible students described in subdivision (c)(3) receive a scholarship, then an eligible student whose annual household income exceeds three hundred percent (300%) of the amount required for the student to qualify for free or reduced-price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service who, at the time of submitting a completed scholarship application, is currently enrolled in a public school or is eligible to

enroll in kindergarten in a public school for the respective school year, in the order in which the department receives completed scholarship applications; and

(5) If scholarships remain available after all eligible students described in subdivision (c)(4) receive a scholarship, then an eligible student whose annual household income exceeds three hundred percent (300%) of the amount required for the student to qualify for free or reduced-price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service, in the order in which the department receives completed scholarship applications.

SECTION 5. Tennessee Code Annotated, Title 49, Chapter 6, Part 35, is amended by adding the following as a new section:

(a) The department shall annually report, in accordance with subsection (b), the number of eligible students who applied for a scholarship, disaggregated by:

(1) The number of applications received from each county;

(2) The number of eligible students who, at the time of submitting a completed scholarship application, were enrolled in a public school;

(3) The number of eligible students who, at the time of submitting a completed scholarship application, were not yet enrolled in school, but who were applying for a scholarship for kindergarten enrollment; and

(4) To the extent such data is available to the department, the number of eligible students whose annual household income:

(A) Does not exceed one hundred percent (100%) of the amount required for the student to qualify for free or reduced price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service;

(B) Does not exceed three hundred percent (300%) of the amount required for the student to qualify for free or reduced price lunch, as

provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service; and

(C) Exceeds three hundred percent (300%) of the amount required for the student to qualify for free or reduced price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service.

(b) The department shall submit the report required in subsection (a) to the education committee of the senate and the committee of the house of representatives having jurisdiction over kindergarten through grade twelve (K-12) education by June 1, 2026, for the 2025-2026 school year; by October 1, 2026, for the 2026-2027 school year; and by each October 1 thereafter for the immediately preceding school year.

(c) The report must not include personally identifiable information.

SECTION 6. This act takes effect upon becoming a law, the public welfare requiring it.